

Cap Table Normalization for Strategic Exit

Transforming to a Clean, Institutional-Grade Ownership Structure — Positioning Inspironics for a premium strategic acquisition by eliminating structural complexity and aligning all stakeholders to a unified exit outcome.

BEFORE — LEGACY STATE

Structural Complexity

→ Multi-Year Capital Infusions

Layered funding across multiple stakeholders with inconsistent terms

→ Mixed Issuance Structures

Preferred and Common equity co-existing without clear governance hierarchy

→ Bridge Funding Variability

Convertible instruments and informal bridge notes adding ambiguity

→ Organic Cap Table Evolution

Accumulated complexity from rounds, grants, and side agreements over time

Structured Transition

New Holding Entity established with institutional-grade governance to rationalize all prior issuances and align ownership for exit readiness

Legacy Cap

Complexity

→

Exit Bridge

Alignment

Unified

Ownership

Structure

AFTER — EXIT-READY STATE

Clean Institutional Structure

Clean Holding Company

Defined Preferred vs Common

Rationalized Ownership

ESOP Pool for Continuity

Exit Bridge Allocation

Why This Matters for Buyers

Eliminates Ambiguity

No contested ownership claims or undisclosed obligations

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Valuation Confidence

Transparent structure supports premium multiples in negotiations

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Reduced Diligence Friction

Clean data room accelerates buyer review cycles

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Faster Deal Execution

Streamlined approvals with no legacy entanglements to resolve

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Stakeholder Alignment

All parties unified behind a single, defined exit outcome

"Positioning Inspironics for a clean, premium strategic acquisition — institutional ownership clarity from day one."